DIPLOMA PROGRAMME PRACTICE / SL / SET B

Economics / Paper 1

Worked mark scheme · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

Judge extended responses as a whole using the markband for that part. Award valid alternative analysis and diagrams. In linked calculations, credit correct use of an earlier result. The suggested judgements are examples.

HOW TO MARK THIS PAPER

Use the 10-mark scale for each explanation and the 15-mark scale for the evaluation. Only the two parts of the selected essay contribute to the score.

10-MARK SCALE

0: no relevant economics. 1–2: isolated relevant ideas. 3–4: partial explanation with limited links. 5–6: a broadly correct mechanism, with gaps in development or representation. 7–8: developed analysis using appropriate terms and an effective diagram or other representation where relevant. 9–10: consistently precise, fully connected reasoning directed at this question, with the representation interpreted. Accept equivalent valid analysis.

15-MARK SCALE

0: no relevant economics. 1–3: assertions or isolated concepts. 4–6: some relevant explanation, limited application. 7–9: coherent analysis with some application and consideration of consequences. 10–12: developed, applied analysis weighing competing considerations with a supported view. 13–15: precise theory and relevant diagrams where useful, evidence integrated throughout, and a balanced judgement that explains conditions or relative importance. Other defensible conclusions can receive full credit.

QUESTIONS IN THIS SCHEME

1 Rents and access to housing [25]

2 Measuring a recovery [25]

3 Exchange rates and imported inflation [25]

QUESTION 1 / 25 MARKS

Rents and access to housing

Background reading. German Federal Constitutional Court, Berlin rent cap decision (2021)

PART a / 10 MARKS

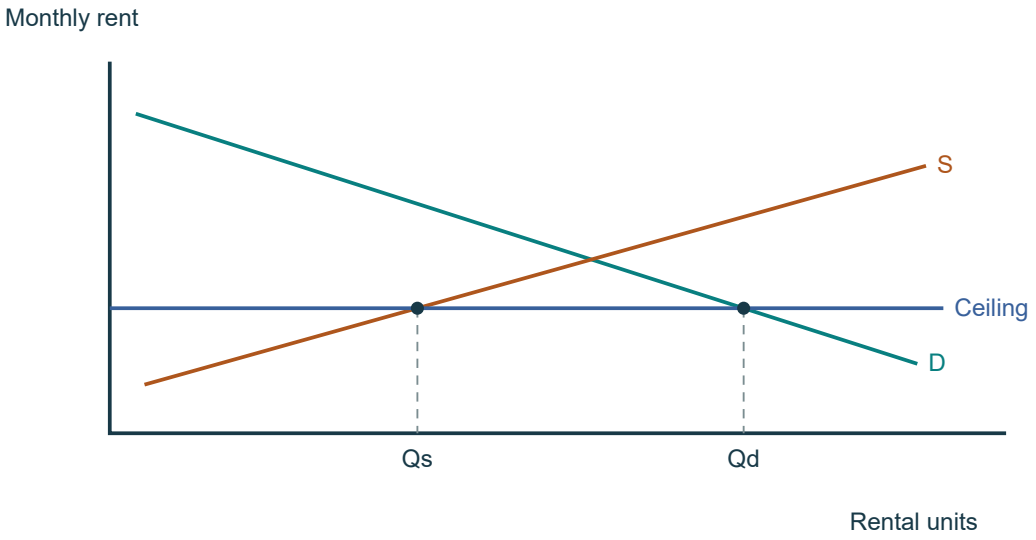
Explain how a binding maximum rent can change both the quantity of rental accommodation available and the way it is allocated.

Analysis. A legal rent below equilibrium increases quantity demanded and reduces quantity supplied along the curves. The gap is excess demand, not the number of extra units physically available. With enforcement, transactions cannot exceed available supply. Waiting, personal contacts or screening can replace price as a rationing mechanism.

Diagram. Label monthly rent and rental units. At the ceiling below equilibrium mark Qs and Qd on the correct curves and the shortage Qd − Qs. Distinguish movements along these curves from a later inward supply shift if maintenance or entry declines.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, discuss whether a maximum rent improves housing affordability for low-income households over time.

Application. Berlin's 2020 rent freeze illustrates why coverage matters: tenants in covered units could receive immediate relief while people seeking a new tenancy faced a different market. A cap reduces rent for a household that obtains and retains a covered dwelling. It does not guarantee that the household with greatest need gets it.

Evaluation. Fixed short-run supply can limit the initial loss of units. In time, conversion, reduced maintenance or weaker construction incentives can worsen access. Exempting new builds changes that prediction. Means-tested assistance improves ability to pay but may raise rents where supply is very inelastic.

Judgement. Separate affordability for incumbent tenants from access for new households. A temporary cap paired with enforceable quality rules and measures that expand supply can perform better on both objectives than an indefinite cap alone.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 2 / 25 MARKS

Measuring a recovery

Background reading. IMF, Jamaica Article IV consultation (2025)

PART a / 10 MARKS

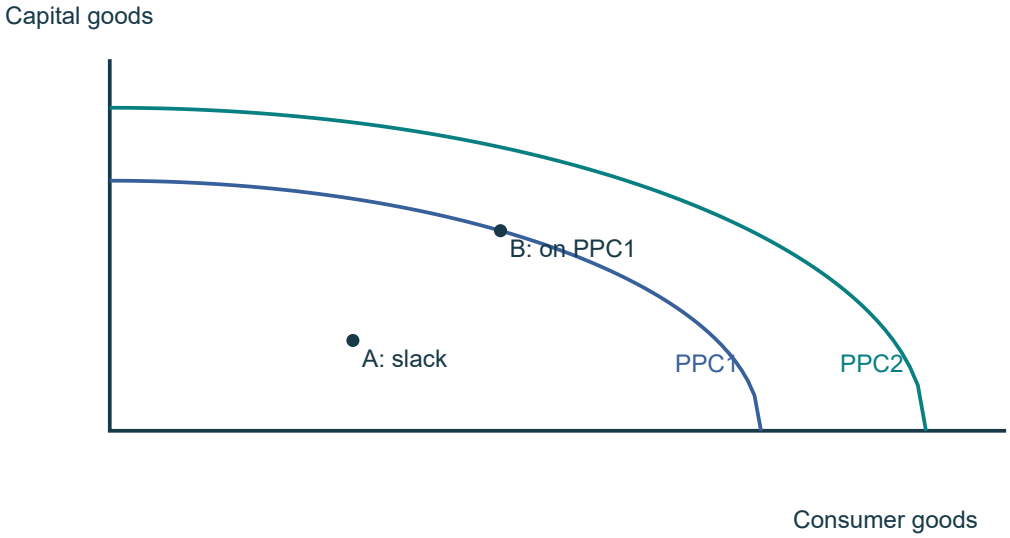
Explain the difference between a recovery that uses idle resources and an increase in an economy's productive capacity.

Analysis. Actual output can rise when existing workers and machinery return to employment. Potential output is the sustainable output available with existing resources and technology. Training, investment or better technology can increase it. A rise in current GDP does not by itself identify which change occurred.

Diagram. On a production possibilities diagram use two output axes. Move an interior point toward a point on the original boundary for recovery. Show a second boundary farther out for capacity growth. An economy can acquire capacity while remaining below either frontier.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate the use of rising real GDP per person as evidence that economic well-being has improved.

Application. Jamaica's tourism recovery after the pandemic illustrates the value of real output per person: reopened hotels can generate jobs and wages. Correcting for inflation and population makes comparisons more meaningful than comparing nominal totals. The measure does not show who receives the gains or how much tourism income leaves as profits.

Evaluation. Compare the change with household incomes, employment, health and environmental pressure. Distribution can improve or deteriorate even with the same average. Public services and improved housing can raise well-being; congestion, unpaid work lost or coastal damage may offset gains omitted from GDP.

Judgement. Treat GDP per person as evidence about average production. It is stronger evidence about well-being where gains reach typical households and social and environmental indicators improve. A reasoned evaluation should identify what additional evidence could alter the conclusion.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 3 / 25 MARKS

Exchange rates and imported inflation

Background reading. UK Office for National Statistics, Exchange-rate pass-through (2019)

PART a / 10 MARKS

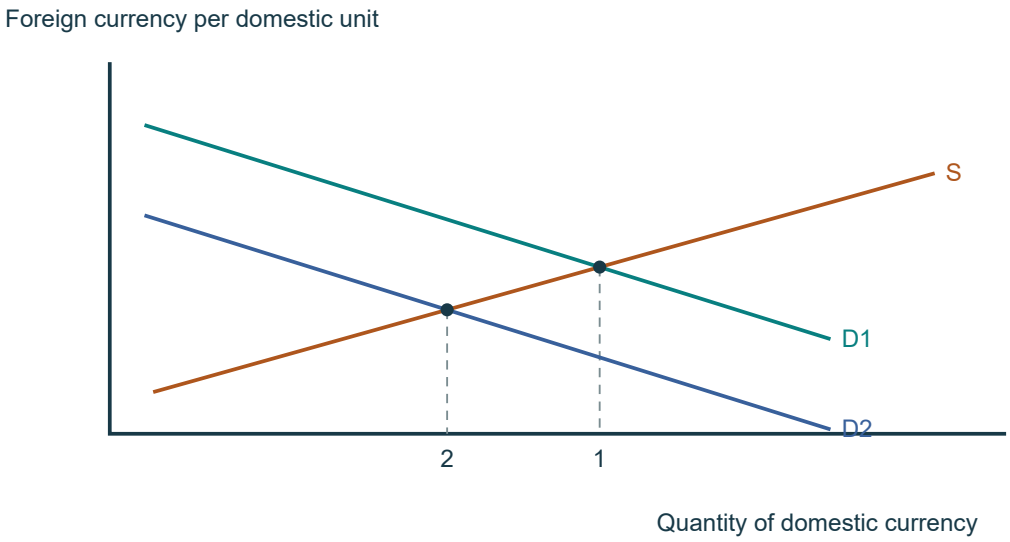
Explain how a fall in foreign demand for an economy's exports can cause its floating currency to depreciate and increase prices for domestic consumers.

Analysis. Foreign customers need less domestic currency to buy exports. Other flows unchanged, demand for the currency shifts left. One unit now buys less foreign currency. Imported consumption goods and imported inputs become dearer in local currency, although foreign suppliers or domestic retailers may absorb part of the rise.

Diagram. Price the domestic currency in foreign currency per domestic unit. Draw currency demand shifting left against upward supply. The lower equilibrium rate is depreciation under this quotation. Identify the shift and explain the link from the exchange market to import prices.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate whether depreciation improves living standards in an economy that imports a large share of its food and energy.

Application. Sterling depreciated after the UK's 2016 referendum. A weaker pound can raise the cost of imported essentials before firms and households find substitutes. A foreign visitor can buy more domestic services for a given foreign budget, potentially supporting jobs and output.

Evaluation. Exporters using imported inputs may gain little; households with fixed nominal incomes suffer a loss of purchasing power. Tourism capacity, spare labour and the responsiveness of demand affect the production gain. Exchange-rate pass-through and wage adjustment affect distribution and timing.

Judgement. For a short-run essentials importer, falling real purchasing power may dominate. Over time strong demand for domestic substitutes and rising employment can reverse the outcome. Evaluate household welfare separately from export revenue.

Apply the 15-mark scale on the first page to this response as a whole.